

In my book, *Protecting Your Wealth in Good Times and Bad* (McGraw-Hill, 2003), I classify investors into four general groups based solely on where they are in life. These groups are early savers, midlife accumulators, transitional retirees, and mature retirees. The material in this chapter is a synopsis of the four stages and how people in different stages would approach the management of an investment portfolio.

The details of these four life phases are:

- *Early savers.* These are investors who are in the beginning stages of their careers and families. They start with few assets and a lot of ambition. This group generally spans ages 20 to 39.
- *Midlife accumulators.* These are investors who are established in their careers and family life. They are accumulators of many things, from cars to homes to appliances to children. From age 40 to 59, accumulators know where they stand on career and family and have a good sense of where they are going.
- *Transitional retirees.* This stage spans a group of people who are getting ready to retire, transitioning into retirement, and living an active lifestyle in retirement. The stage typically covers people ranging from age 60 to 79.
- *Mature retirees.* These fully retired investors are not as active as they used to be usually because of their own health concerns or those of a spouse. The needs for mature retirees are different from the needs of any other group. Their needs range from health planning, to long-term care, to estate planning. At this stage, financial matters are often discussed with children, other family members, or a professional trustee.

Investors in all stages have some similar financial goals and similar concerns. Similar goals include a desire for financial security and the desire to pay less income tax. Similar concerns include the fear of running out of money and the fear of not having adequate health-care coverage when it is needed.

Investors at different ages have a wide range of differences. These include career challenges, family situations, risk tolerance based on investment experience, health issues, and personality strengths and weaknesses.